

Stock-Market Dynamics, Rev. 6: The Winners — the Systematic Buffett Screen and the Validated Regime Engine

N. M. Ghoniem

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Rev-6 in one slide

- ▶ Seven pre-registered return-forecast tests. **All seven failed walk-forward.** Their sections leave the report.
- ▶ What survived: **(1) the systematic Buffett screen** — quality/value/low-beta, backtest 2009–2022: **CAGR 14.8% vs. 13.6% SPY, Sharpe 1.27 vs. 0.94**; **(2) the regime engine** — validated census, scenario engine, fragility monitor. *Not* a return forecaster.
- ▶ The screen was not pre-registered → **paper-trading protocol**. No real capital until the paper record holds.

Winner: systematic Buffett screen

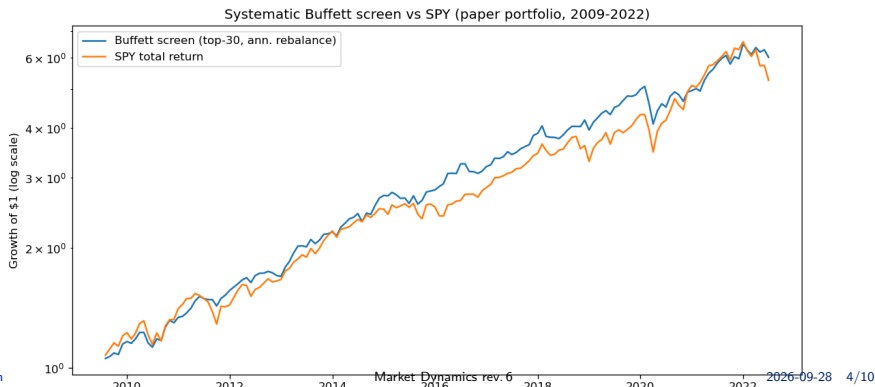
The unlevered selection leg of “Buffett’s Alpha”
(Frazzini–Kabiller–Pedersen: $HML/QMJ/BAB + 1.6 \times \text{float leverage}$ — leverage *not* applied):

- ▶ Universe: true historical S&P 500 members, June 2009–2021
- ▶ Scores (cross-sectional z , winsorized ± 3 , point-in-time):
 - ▶ **Quality:** ROE (net income / equity), ROA secondary — SEC XBRL 10-K facts
 - ▶ **Value:** book/market, earnings yield
 - ▶ **Low beta:** trailing 252-day beta vs. SPY
- ▶ Composite = mean of the three; **top 30, equal-weight, rebalanced yearly** (Buffett holds for years)

Buffett screen: results

2009-07-2022-06, 156 months:

- ▶ **CAGR 14.8% vs. 13.6%**; Sharpe **1.27 vs. 0.94**; vol 11.1% vs. 14.2%; max DD -19.6% vs. -20.0% ; \$1 $\rightarrow$ **\$6.01** vs. \$5.26
- ▶ FF3 alpha **+0.46%/mo**, $t = 2.71$ (+5.5% ann.); Mkt 0.64; SMB -0.31 ; **HML ≈ 0** — quality neutralizes value: this is **quality + low-beta**, not deep value
- ▶ Wins down years (2011, 2018, 2022); lags raging bulls (2020: -0.6% vs. $+18.3\%$)



Buffett screen: honest limits

- ▶ **Not pre-registered** — researcher degrees of freedom; weaker evidence than the negative tests
- ▶ No float leverage, no crisis deal-flow, no transaction costs (53% annual turnover $\approx 0.1\text{--}0.3\%/yr$), 11 tickers excluded, one 14-year bull-market window
- ▶ **Paper-trading protocol:** frozen design, live tracking vs. SPY. Real capital only if the paper record holds — then a small pilot.

Validated: the regime engine (not a return forecaster)

- ▶ 24 capital-weighted states (momentum $\times$ vol $\times$ turnover $\times$ size), true historical membership, master equation $d\mathbf{c}/dt = \mathbf{P} + \mathbf{S}\mathbf{J} - \mathbf{D}\mathbf{c}$
- ▶ Data integrity: consistent 10^3 – $10^6 \times$ share-unit errors fixed (SRE backfill = \$5,000T); binnable cap now \$10.2T (2007) / \$41.3T (2021)
- ▶ **Scenario engine:** 200 scenarios, 12-mo top-lane share median **0.239**, 90% interval **[0.106, 0.503]** — the width *is* the finding
- ▶ **Fragility monitor:** 2022-12 top-lane share 0.101 (**25th pctl** — not crowded)
- ▶ Standing verdict: prices *states*, not *returns*. Never a deployment signal.

Discarded candidates

All pre-registered, all failed walk-forward; full test docs stay in the repo:

- ▶ **Rev-4 tilt:** mass-flow $\rightarrow$ return corr. 0.009 — reclassification, not price pressure
- ▶ **Concentration $\rightarrow$ returns:** $t = -0.41$, WF corr -0.045 — honest negative
- ▶ **Dispersion:** all OOS R^2 negative in the large-cap panel
- ▶ **Comomentum:** wrong sign, OOS $R^2 = -0.082$
- ▶ **Short interest:** published sign reversed in the modern subsample
- ▶ **Bubble characteristics:** pseudo- $R^2 = 0.0134$, key predictor unavailable
- ▶ **HF crowding (13F proxy):** all pass criteria failed; marginal signal died under size control

**One paper-trading winner. One validated diagnostic.
No real-capital deployment yet.**

- ▶ Buffett screen: promising backtest, frozen, paper-traded forward
- ▶ Regime engine: census + scenarios + fragility monitor — diagnostics, not signals
- ▶ Everything else: tested, failed, documented, removed

References

- ▶ Frazzini, Kabiller & Pedersen (2018) — Buffett's Alpha. The screen's design.
- ▶ Fama–French Data Library — FF3 factor series for attribution.
- ▶ Brown, Howard & Lundblad (2022); Rapach, Ringgenberg & Zhou (2016); Greenwood, Shleifer & You (2019); Lou & Polk (2022) — tested, discarded.
- ▶ fja05680/sp500 — point-in-time membership. Yahoo Finance — prices, SPY. SEC EDGAR — XBRL fundamentals and shares.

Thank you.